CB FP&A Meeting_Initiatives and Updates

Apr 7, 2025

Follow up from last meeting and Terence Meeting

S/N	Key Topics	Action Items	PIC	Timeline	Status
1	Ads Takerate Projection Accuracy	Projection for Mar'25 Cycle to reflect latest baseline trends of Feb 2H and Mar 1H *Update: +0.2pp vs last submission mainly driven by Ads TR% increase across SEA markets*	Jiaqi	Mar 19th	Done
2	SLS projection accuracy - liquidation rev projection	1) Work with local ops on liquidation stability 2) Reflect in budget/pacing projection *Update: PH will implement a new process in Apr 25 (include annual bidding) to improve stability and input to Budget*	Janice	Mar 17th	Done
3	SLS projection accuracy - local inputs	Identify channel/zone order impact on SLS P&L (MY/VN/TH) ***Update:*** *1) XDD Channel mix won't impact SLS P&L given buyer needs no change, e.g. MY Zone A order mix remains 84% 2) NNWH channel impact SLS P&L from lower rate card* *However MY Feb missed UE target is due to all channels overstated weight projections, details in later slides*	Edric	Mar 30th	Done
4	SLS volume allocation from 3PL to SPX	1) Furnish with PnL impact for both positive and negative impact to Shopee as a whole 2) Dedicate meeting with TH/PH/TW on optimal allocation proposal and P&L impact 3) TW SPX true cost review and proposal on channel shift 80% *>> Done, Updates to TP, TH/VN/TW country head, SPX vol increase for MY/TH/PH, details in later slides*	Faye/ Leihao	Mar 14th	Done
5	Choice Platform Cost adding VAT	1) To follow up on any mitigation plan post reviewing official notice from reg FP&A 2) Indication to local SIP P&L 3) To revise P&L entry by adding VAT line if to change *>> Update: Materialized VAT into Choice seller PnL, pending VAT savings from Reg FP&A ETA 6 month, SIP no impact given no A mkt commission charge in system as already paid in P platform (which is credits claimable as entity in local)*	Waimei	Mar 30th	Done
6	Choice SLS ASF discount	Conclusion aligned: *1) All current rate cards (also VN NNWH) and Choice SLS ASF discounts will remain* ***unchanged*** *until Choice topline and P&L to stabilize in the next few months,* ***likely by mid-year****.* *2) This is on the basis to keep Choice rate cards/SLS ASF discounts independent from SLS cost movements. (Meaning, any improvements/worsening of SLS costs will be reflected within SLS P&L only)*	Waimei	Mar 6	Done
7	MP special commission setting review	1) review special rules to reduce complexity (MYSG direct, VN 3PF, PH 3PF) *>> WIP, deprioritized as no new ones* 2) reinforce commission proposal progress with each local and BU *>> Update, process followed our SOP*	Jiaqi	Mar 30	Done
8	[New] FBS vs. SLS impact to Shopee P&L (from TP meeting)	1) Identify how much are we losing for Shopee as a whole for every FBS order push vs. SLS 2) How long are we going to continue with the current investment, and what will the future UE and P&L look like *Updates: refreshed previous study on LFF vs SLS model P&L, to update together in next TP meeting*	Edric	Apr 12	WIP
9	[New] SCS ADO growth (from TP meeting)	Guideline on increasing Platform ADO % (currently decreasing trend) without hurting seller PC2 *Update: shared platform ADO% to choice, to update in Apr budget cycle*	Waimei	Apr 25	WIP

Agenda

- **CB Performance update**
  - Mar’25 Actuals Performance (as of Apr 4th)
- **Key Initiatives Updates**
  - **All BU**: CB P&L Projection Accuracy Improvement Initiatives
  - **Marketplace P&L**: VN budget explanation
  - **Marketplace P&L**: Mar’25 Commission Setting Update
  - **SLS**: SEA Last Mile SPX comparison vs 3PL vendors

[Mar'25 Actuals]: CB ADO at 2.9mil, with EBITDA at 13.6mil; Lovito/SCS ADO overperformed with a standalone PnL of -0.5mil

Table: CB Mar'25 P&L breakdown by BUs

Mar'25 CB combined P&L USD			1P + Consignment			Marketplace			Total CB		
			Actuals	Target	vs Target	Actuals	Target	vs Target	Actuals	Target	vs Target
Topline		ADO	329,217	297,365	1 111%	2,521,143	2,709,457	93%	2,850,360	3,006,822	1 95%
		ADO% of CB	11.6%	9.9%	1.7%	88.4%	90.1%	-1.7%	-	-	-
		ADGMV	1,437,746	1,307,570	110%	20,665,739	21,672,687	95%	22,103,485	22,980,258	1 96%
		ABS	4.4	4.4	0.0	8.2	8.0	0.2	7.8	7.6	101%
P&L	I: MP	Revenue Take Rate	13.1%	15.2%	-2.1%	15.0%	14.2%	0.8%	14.9%	14.3%	0.6%
		CIR%	-22.3%	-21.6%	-0.7%	-12.5%	-11.6%	-0.9%	-13.1%	-12.2%	-1.0%
		MP PC1%	-9.2%	-6.4%	-2.8%	2.5%	2.6%	-0.1%	1.8%	2.1%	-0.3%
		MP PC2%	-10.3%	-7.5%	-2.8%	1.5%	1.6%	-0.1%	0.7%	1.1%	-0.4%
		MP PC2	-4,577,720	-3,024,815	-1,552,905	9,479,891	10,836,578	3 -1,356,687	4,902,171	7,811,763	-2,909,592
	II: SLS	SLS PnL	690,988	638,348	52,640	26,238,074	27,131,295	-893,221	26,929,062	27,769,643	4 -840,581
	III: Standalone	Seller P&L	-490,863	-3,094,176	2 2,603,313	-	-	-	-490,863	-3,094,176	2,603,313
	Combined MP PC2+SLS+Standalone		-4,377,595	-5,480,642	1,103,048	35,717,965	37,967,873	-2,249,908	31,340,370	32,487,231	-1,146,860
	Combined MP PC2+SLS+Standalone%		-9.8%	-13.5%	3.7%	5.6%	5.7%	-0.1%	4.6%	4.6%	0.0%
	Management EBITDA		-5,811,148	-6,826,642	1,015,494	19,391,370	21,207,211	3 -1,815,841	13,580,222	14,380,569	-800,347
	Management EBITDA %		-13.0%	-16.8%	3.8%	3.0%	3.2%	-0.1%	2.0%	2.0%	0.0%

Note:
MP/SLS actuals refreshed as of Apr 3rd, Seller P&L using EOM projection as a proxy. TH SLS profit included net tax loss, Choice seller P&L reflected platform VAT cost

Key Highlights:

Topline:

1 Overall CB ADO runrate at **95%** and ADGMV runrate at **96%** mainly from 1) MY ADO RR at 82% due to platform direction change to push higher ABS, and lower CB penetration due to local stronger performance in Muslim Fashion driven by Raya demand; and 2) VN ADO RR at 77% in line with platform PC2 optimization direction

- Choice order runrate 111% mainly driven by SCS performance from continued PID boost traffic

P&L: **-0.8mil** vs Target

2 **Lovito/SCS Standalone: +2.6m vs target**: mainly from strategic focus on further price mark-up optimization and SG&A improvement

- **Marketplace**: **-1.8m vs target**

3 **MP**: PC2 -1.4mil, mainly due to lower topline

4 **SLS**: -0.9m vs target from:
1) MY -0.6m lower toplines
2) TH -1.1m mainly due to higher tax cost (-1.3m) offset by lower LM cost from higher SPX% (+0.2m)
3) VN -0.7m mainly due to order below target (-1.1m) and offset by liquidation rev (+0.5m)

[Mar'25 Actuals]: To follow-up on Terrence meeting to split out local SIP, can see local SIP has a higher PC2% vs rest of marketplace

Mar'25 CB combined P&L USD			1P + Consignment			Local SIP			Marketplace - non SIP			Total CB		
			Actuals	Target	vs Target	Actuals	Target	vs Target	Actuals	Target	vs Target	Actuals	Target	vs Target
Topline		ADO	329,217	297,365	111%	147,400	126,242	117%	2,373,743	2,583,215	92%	2,850,360	3,006,822	95%
		ADO% of CB	11.6%	9.9%	1.7%	5.2%	4.2%	1.0%	83.3%	85.9%	-2.6%	-	-	-
		ADO% of Platform	1.0%	0.9%	0.1%	0.4%	0.4%	0.1%	7.1%	7.5%	-0.4%	8.5%	8.8%	-0.2%
		ADGMV	1,437,746	1,307,570	110%	1,600,442	1,343,343	119%	19,065,296	20,329,344	94%	22,103,485	22,980,258	96%
		ABS	4.4	4.4	0.0	10.9	10.6	0.2	8.0	7.9	102%	7.8	7.6	101%
P&L	I: MP	Revenue Take Rate	13.1%	15.2%	-2.1%	16.5%	15.6%	0.9%	14.9%	14.1%	0.8%	14.9%	14.3%	0.6%
		CIR%	-22.3%	-21.6%	-0.7%	-10.5%	-8.3%	-2.1%	-12.7%	-11.8%	-0.9%	-13.1%	-12.2%	-1.0%
		MP PC1%	-9.2%	-6.4%	-2.8%	6.0%	7.2%	-1.2%	2.2%	2.3%	-0.1%	1.8%	2.1%	-0.3%
		MP PC2%	-10.3%	-7.5%	-2.8%	1 4.8%	6.0%	-1.2%	1.2%	1.3%	-0.1%	0.7%	1.1%	-0.4%
		MP PC2	-4,577,720	-3,024,815	-1,552,905	2,382,129	2,507,026	-124,897	7,097,762	8,329,552	-1,231,790	4,902,171	7,811,763	-2,909,592
	II: SLS	SLS PnL	690,988	638,348	52,640	430,260	113,026	317,234	25,807,814	27,018,270	-1,210,455	26,929,062	27,769,643	-840,581
	III: Standalone	Seller P&L	-490,863	-3,094,176	2,603,313	107,924	-213,388	321,312	-	-	-	-382,939	-3,307,564	2,924,625
	Combined MP PC2+SLS+Standalone		-4,377,595	-5,480,642	1,103,048	2,920,312	2,406,664	513,648	32,905,577	35,561,209	-2,655,633	31,448,294	32,487,231	-1,038,936
	Combined MP PC2+SLS+Standalone%		-9.8%	-13.5%	3.7%	5.9%	5.8%	0.1%	5.6%	5.6%	-0.1%	4.6%	4.6%	0.0%
	Management EBITDA		-5,811,148	-6,826,642	1,015,494	2,252,327	2,139,548	112,779	17,139,043	19,067,663	-1,928,620	13,580,222	14,380,569	-800,347
	Management EBITDA %		-13.0%	-16.8%	3.8%	4.5%	5.1%	-0.6%	2.9%	3.0%	-0.1%	2.0%	2.0%	0.0%

Key Highlights:

Local SIP ADO: runrate at 117%, mainly from better than expected Raya push in MY

Local SIP: MP PC2, higher than marketplace non-SIP, from key focus in SG/MY markets where CB also has higher PC2% (SG.MY PC2% at 9%/2% respectively, whereas mkts like VN/PH/BR at -1.4%/-5% for CNCB)

Agenda

- **CB Performance update**
  - Mar’25 Actuals Performance (as of Apr 4th)
  - Mar WoW changes Explanation
- **Key Initiatives Updates**
  - **All BU**: CB P&L Projection Accuracy Improvement Initiatives
  - **Marketplace P&L**: VN budget explanation
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Local Ownership Initiatives: 2 key issues to monitor (1) timely submission of CB toplines (2) Refining assumptions for certain MP/SLS key metrics

Projection	Sub Initiatives	Progress Details	PIC	ETA
Monthly Budget	1 Local FP&A ownership	**MP/SLS: Delay in topline submission**, projection **inputs require fine tuning**. Highlighted areas for improvements to local team, and continue to track accuracy **Warehouse P&L: Locals started projections** this cycle, CB FP&A highlighted areas for improvement, and to track projection accuracy ● Actual inputs currently based on manual calculations. To work with Tech BI to automate output to reduce data error	CB FP&A Local F&A	Q2 2025
	Monthly Scorecard Issue Call out	**MP:** Mar'25 **+0%** (vs. +2% in Feb) **SLS:** Mar'25 **-4%** (vs. -11% in Feb) **CBWH P&L:** *Pending actuals* **Choice P&L:** *Pending actuals* **To send out scorecard email, highlight inaccuracies to note for upcoming budget**	CB FP&A	Monthly
Weekly EOM Projection	Local FP&A ownership	**MP Projection:** from local FP&A **Warehouse P&L:** from local CBWH Aligned with all stakeholders on weekly projections, to continue monitoring accuracy	CB FP&A Local F&A Local WH	Done
	2 Weekly Projection Accuracy & Fluctuation	**To monitor EOM projections accuracy vs. actuals:** (1) Compare actuals vs. weekly projections, understanding reasons for weekly gap (2) Finetune on SLS projections (Split by BU projection) (3) Tech BI team to work on internal projection model as reference	CB FP&A	Apr 2025

#1. Local FP&A Ownership - late submission: First key issue is submission timeline delay, with TH/VN submission delay of ~3 days across most metrics..

CB FP&A PIC	Function PIC	SG	MY	TH	TW	VN	PH	BR	MX	CO	CL
Platform - topline V2	Local FP&A										
	DDL	17-Mar 5PM	17-Mar 5PM	17-Mar 5PM	17-Mar 5PM	17-Mar 5PM	17-Mar 5PM	17-Mar 11PM	17-Mar 11PM	17-Mar 11PM	17-Mar 11PM
	Submitted date	17-Mar 7PM	17-Mar 7PM	20-Mar 2PM	17-Mar 7PM	20-Mar 6PM	17-Mar 7PM	18-Mar 10AM	18-Mar 10AM	18-Mar 10AM	18-Mar 10AM
	Note			3 days delay		3 days delay		1 day delay	1 day delay	1 day delay	1 day delay
CB - topline	Local FP&A										
	DDL	17-Mar 5PM	17-Mar 5PM	17-Mar 5PM	17-Mar 5PM	17-Mar 5PM	17-Mar 5PM	17-Mar 11PM	17-Mar 11PM	17-Mar 11PM	17-Mar 11PM
	Submitted date	17-Mar 5PM	17-Mar 5PM	20-Mar 12PM	17-Mar 5PM	21-Mar 6PM	17-Mar 5PM	27-Mar 10AM	17-Mar 11PM	17-Mar 11PM	17-Mar 11PM
	Note			3 days delay		4 days delay		10 days delay			
CB - SLS Inputs (Outbound % and Weight)	Local FP&A										
	DDL	17-Mar 5PM	17-Mar 5PM	17-Mar 5PM	17-Mar 5PM	17-Mar 5PM	17-Mar 5PM	17-Mar 11PM	17-Mar 11PM	17-Mar 11PM	17-Mar 11PM
	Submitted date	17-Mar 5PM	17-Mar 5PM	18-Mar 7PM	17-Mar 5PM	19-Mar 6PM	17-Mar 5PM	27-Mar 10AM	17-Mar 11PM	17-Mar 11PM	17-Mar 11PM
	Note			1 day delay		2 days delay		10 days delay			
CB - MP Seller Fee Inputs	Local FP&A										
	DDL	18 Mar	18 Mar	18 Mar	18 Mar	18 Mar	18 Mar	25 Mar	25 Mar	25 Mar	25 Mar
	Submitted date	18 Mar	18 Mar	20 Mar	18 Mar	21 Mar	18 Mar	25 Mar	25 Mar	25 Mar	25 Mar
	Note			2 days delay		3 days delay					

Key Highlight: Topline delays has been a persistent problem each cycle, resulting in less time for BU projections downstream and detailed checks prior submission

Key issues:

- **VN:** Current budgeting process is still fragmented, with multiple stakeholders handling each segment (not connected across different BUs and no cross-check)
- **TH:** Manual error in delink of Lovito/SCS topline updates to TH working file
- **BR:** Topline adjustment right after budget submission due to FSV policy changes

#1. Local FP&A Ownership - inaccurate assumption: …, and the second key issue is input accuracy, where majority of the errors spotted for MP and SLS >15+ respectively, future expect to decrease

BU	Key Issues	Explanation	Examples	# of errors pointed out			Next Step
				Mar Cycle	Apr Cycle	MoM	
MP	#1 Manual Errors	**Negligence/Mistakes** made during input (e.g. typos, incorrect values)	• VN: Incorrect hardcoded ABS values • TH: Mismatched numbers with local working file	0	3	▲ 3	**[Unacceptable]** **Future must reduce,** each mkt to add checking point before submission to us
	#2 Omission Errors	**Omitted** important factors/variables	• TH: 3PF fee increase not factored in • All mkts: Choice-LFF charge rate	9	5	▼ 4	
	#3 Logic Errors	Incorrect **relationships** or **flawed** underlying assumptions w/o valid reasoning	• Wrong logic: commission base busing GMV instead of NCB • Wrong trends: base commission fluctuations without rate diff	7	5	▼ 2	**[To share/co-work]** Indicate lack understanding, to reduce and know CB better
	#4 Bias/Judgement Errors	Overly **conservative/optimistic** estimates	• TH Bias: Songkran CB ADO% last year increased, but local wants to keep it conservative as uncertainty in PRM push	5	3	▼ 2	**[To call out]** In budgeting walkthrough
			Total	21	16	▼ 5	
SLS	#1 Manual Errors	**Negligence/Mistakes** made during input (e.g. typos, incorrect values)	• MY Hardcoded wrong channel order %	NA	1	NA	**[Unacceptable]** **Future must reduce,** each mkt to add checking point before submission to us
	#2 Omission Errors	**Omitted** important factors/variables	• VN: Did not consider NNWH order ramp up • MX Outbound % did not account for CNY impact		4		
	#3 Logic Errors	Incorrect **relationships** or **flawed** underlying assumptions w/o valid reasoning	• All mkts (except SG): Using L3M for pacing projections instead of latest trends • SG: Sudden spike in weight without valid reasoning		12		**[To share/co-work]** Indicate lack understanding, to reduce and know CB better
	#4 Bias/Judgement Errors	Overly **conservative/optimistic** estimates			0		
			Total		17		

#1. Local FP&A Ownership - Inaccuracy supporting: Inaccuracy in weight projections impact SLS profits downstream

Table 1: VN/MY channel level weight projection inaccuracy illustration

S/N	Type	Mkt	Version Type	Jan'25	Feb'25	Mar'25	Apr'25	May'25	Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25
1	Seasonality Trends	VN	Initial version(kg)	0.132	1 0.132	0.132	0.132	0.132	0.132	0.132	0.132	0.132	0.132	0.132	0.132
			Revised version(kg)	0.130	0.117	0.116	0.111	0.110	0.110	0.107	0.117	0.120	0.126	0.133	0.139
			▲ Project same weight as Jan, but Jan has winter clothes selling with heavier weight											▲ Winter season back	
2	Holiday Impact	MY	Initial version(kg)	0.259	2 0.257	0.275	0.271	0.273	0.276	0.279	0.271	0.267	0.265	0.264	0.251
			Revised version(kg)	0.254	0.228	0.256	0.260	0.255	0.260	0.258	0.252	0.254	0.245	0.257	0.252
			▲ Project same weight as Jan, but Jan has CNY trends heavier goods in HL/Fashion												

Table 2: MY historical trends in Feb vs Jan weight change

Metrics		2024			2025			
		Jan	Feb	MoM	Jan	Feb	Feb	Feb act. vs target
		Actuals	Actuals	Diff (%)	Actuals	Budget	Actuals	Diff (%)
Order Distribution (%)	0 to 150g	57%	62%	5%	55%	NA	61%	
	150 to 300g	21%	19%	-2%	20%		18%	
	>300g	22%	19%	-3%	24%		21%	
	Total	100%	100%		100%		100%	
Actual Weight	Total Weight	0.238	0.214	-10%	0.259	0.257	0.227	-13%

Key Highlights:

Weight inaccuracy mainly from logic error in neglecting seasonality and holiday trends

VN: 1

- Project same weight per Jan MTD actuals for rest of year
- However, winter season will have heavier weight from winter clothes

MY: 2

- Project same weight for Jan and Feb
- However, Feb to decrease from CNY categories detrending (HL and Clothes, with heavier weight than other categories 322g vs others ~200g),same trends can see in Y2024

(Recap: last meeting we mention STD channel weight decrease from XDD goods move in, not accurate, root cause is weight trends from Jan to Feb)

#2. [Weekly Projection Accuracy]: W3/W4 projections seeing less fluctuations vs. previous month as corrective measures from last cycle has been taken into account, to further deep dive in CIR in BR/TH/SG

Table 1: Mar'25 Weekly EOM Projection vs. Actuals accuracy performance (#)

Metrics	Weeks	SG	MY	TH	TW	VN	PH	BR	MX	CO	CL	Total
ADO	W1	176,792	463,847	460,636	65,545	692,248	855,347	273,100	4,638	3,434	5,958	3,001,545
	W2	176,766	409,915	449,869	63,054	626,137	859,476	276,270	4,511	3,173	5,826	2,874,997
	W3	177,891	415,858	441,498	62,633	589,094	902,783	267,763	4,988	3,125	5,761	2,871,395
	W4	179,136	407,646	441,165	62,234	589,094	912,918	267,763	5,352	3,125	5,761	2,874,195
	Actuals	176,727	403,975	440,632	62,004	563,922	934,111	254,825	5,459	3,102	5,604	**2,850,360**
MP PC2	W1	6.6m	4.1m	(0.6m)	2.4m	(2.4m)	0.7m	(5.6m)	(0.2m)	0.0m	0.1m	5.3m
	W2	6.3m	3.4m	0.7m	2.3m	(0.1m)	0.7m	(6.5m)	0.2m	0.0m	0.2m	7.3m
	W3	6.3m	2.6m	1.1m	2.5m	(0.4m)	0.1m	(6.3m)	(0.2m)	0.0m	0.1m	5.8m
	W4	6.4m	2.8m	1.1m	2.6m	(0.4m)	(0.9m)	(6.3m)	(0.2m)	0.0m	0.1m	5.3m
	Proj. Actuals	6.9m	3.2m	0.6m	2.6m	(0.4m)	(1.1m)	(5.2m)	(0.2m)	0.0m	0.1m	**6.6m**
SLS	W1	2.1m	3.4m	3.2m	0.9m	4.0m	6.2m	6.9m	0.3m	0.1m	0.3m	27.4m
	W2	2.2m	3.2m	3.4m	0.7m	3.5m	6.3m	7.7m	0.3m	0.1m	0.5m	27.9m
	W3	2.1m	3.1m (1)	2.2m	0.7m	3.6m	6.8m (2)	6.7m	0.4m	0.1m	0.4m	26.1m
	W4	2.1m	3.1m	2.2m	0.7m	3.7m	6.9m	7.5m	0.4m	0.1m	0.4m	27.1m
	Actuals	2.1m	3.0m	2.3m	0.7m	3.6m	6.9m	7.2m	0.4m	0.1m	0.4m	**26.8m**
Choice P&L	W1	0.1m	(0.2m)	(0.3m)	0.0m	(0.4m)	(0.0m)	0.4m	0.0m	0.0m	0.0m	(0.3m)
	W2	0.1m	(0.3m)	(0.3m)	0.0m	(0.4m)	(0.0m)	0.5m	0.0m	0.0m	0.0m	(0.4m)
	W3	0.1m	(0.2m)	(0.3m)	0.1m	(0.4m)	0.1m	0.6m	0.0m	0.0m	0.0m	(0.1m)
	W4	0.1m	(0.3m)	(0.4m)	0.1m	(0.5m)	(0.0m)	0.5m	0.0m	0.0m	0.0m	(0.6m)
	Proj. Actuals	0.1m	(0.4m)	(0.4m)	0.1m	(0.5m)	(0.0m)	0.5m	0.0m	0.0m	0.0m	**(0.5m)**

Table 2: Feb'25 Weekly EOM Projection vs. Actuals accuracy performance on MP PC2

Metrics	Weeks	SG	MY	TH	TW	VN	PH	BR	MX	CO	CL	Total
MP PC2	W4	5.3m	3.3m	(0.7m)	1.9m	(2.1m)	1.0m	(4.1m)	(0.2m)	0.0m	0.1m	4.6m
	Proj. Actuals	5.3m	4.3m (5)	(0.4m)	2.1m	(1.4m) (3)	1.6m (4)	(3.8m)	(0.1m)	0.0m	0.1m	**7.7m**

Key Highlights:

[OK] **ADO:** accuracy within 3% range

[OK] **SLS P&L**: **Unexpected** fluctuations, adjusted within pacing assumptions

1. W3 fluctuations driven by TH tax loss
2. BR higher CPO from Anjun congestion (but actual CPO increase was lower than expected)

[OK] **Choice P&L**: Weekly fluctuations less than 50K gap

[To Improve] **MP P&L**: Reduced gap btw W4 and Actuals compared with Feb tracking

- **What has been revised to reduce gap:**
  3. **VN**: local revised using net PRM instead of gross PRM during EOM projection
  4. **PH:** local revised the logic from inaccurate handling for Choice/SIP in vouchers/PRMs
  5. **MY:** CB revised SPL subsidy PRM logic
- **What to be further deepdive: BR/TH/SG**

Agenda

- **CB Performance update**
  - Mar’25 Actuals Performance (as of Apr 4th)
  - Mar WoW changes Explanation
- **Key Initiatives Updates**
  - **All BU**: CB P&L Projection Accuracy Improvement Initiatives
  - **Marketplace P&L**: VN budget explanation
  - **Marketplace P&L**: Mar’25 Commission Setting Update
  - **SLS**: SEA Last Mile SPX comparison vs 3PL vendors

MP Budgeting | VN Platform ADO FY 2025 -10% vs last submission, -6% due to PRM optimization, and -4% from TTS heavy investment

Table1: VN Platform and CB topline target changes (Mar'25 cycle)

BU	Metrics	Submission Type	Jan'25	Feb'25	Mar'25	Apr'25	May'25	Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25	FY2025	Dec vs Jan'25
			Actual	*Actual*	*Actual*	*Proj.*	*Proj.*	*Proj.*	*Proj.*	*Proj.*	*Proj.*	*Proj.*	*Proj.*	*Proj.*	*Proj.*	
Platform	ADO	Last Submission	4,217k	4,099k	4,452k	4,311k	4,480k	4,608k	4,809k	4,656k	4,719k	4,921k	5,287k	5,712k	4,694k	+35%
		This Submission(Mar 17) - PRM optimization	4,217k	4,099k	3,966k	3,893k	4,030k	4,287k	4,359k	4,482k	4,504k	4,735k	5,099k	5,456k	4,430k	+29%
		This Submission (Mar 24) - TTS heavy investment	**4,217k**	**4,099k**	**3,853k**	**3,792k**	**3,847k**	**4,012k**	**4,127k**	**4,238k**	**4,236k**	**4,471k**	**4,812k**	**5,185k**	**4,242k**	**+23%**
		Mar 17 vs last submission			*-11%*	*-10%*	*-10%*	*-7%*	*-9%*	*-4%*	*-5%*	*-4%*	*-4%*	*-4%*	*-6%*	
		Mar 24 vs Mar 17 version			*-3%*	*-3%*	*-5%*	*-6%*	*-5%*	*-5%*	*-6%*	*-6%*	*-6%*	*-5%*	*-4%* (1)	
		Mar 24 vs last submission			*-13%*	*-12%*	*-14%*	*-13%*	*-14%*	*-9%*	*-10%*	*-9%*	*-9%*	*-9%*	*-10%*	
	ADGMV	Last Submission	34.5m	35.3m	34.3m	32.3m	33.6m	35.0m	35.8m	36.5m	37.7m	39.9m	42.9m	46.3m	37.0m	+34%
		This Submission(Mar 17) - PRM optimization	34.6m	35.3m	34.9m	31.3m	32.4m	34.4m	35.0m	35.9m	37.5m	39.5m	42.5m	45.5m	36.6m	+32%
		This Submission (Mar 24) - TTS heavy investment	**34.6m**	**35.3m**	**34.1m**	**31.3m**	**32.0m**	**33.6m**	**34.4m**	**35.4m**	**36.8m**	**38.8m**	**41.7m**	**44.9m**	**36.1m**	**+30%**
		Mar 17 vs last submission			*2%*	*-3%*	*-3%*	*-2%*	*-2%*	*-2%*	*-1%*	*-1%*	*-1%*	*-2%*	*-1%*	
		Mar 24 vs Mar 17 version			*-2%*	*-*	*-1%*	*-2%*	*-2%*	*-2%*	*-2%*	*-2%*	*-2%*	*-1%*	*-1%*	
		Mar 24 vs last submission			*-0%*	*-3%*	*-5%*	*-4%*	*-4%*	*-3%*	*-2%*	*-3%*	*-3%*	*-3%*	*-3%* (2)	
CB	ADO	Last Submission	718k	693k	736k	712k	739k	764k	796k	776k	787k	810k	863k	916k	777k	+28%
		This Submission (Mar 24)	**718k**	**693k**	**564k**	**563k**	**604k**	**635k**	**655k**	**676k**	**679k**	**719k**	**774k**	**830k**	**676k**	**+15%**
		Mar 24 vs last submission			*-23%*	*-21%*	*-18%*	*-17%*	*-18%*	*-13%*	*-14%*	*-11%*	*-10%*	*-9%*	*-13%* (3)	
	ADO%	Last Submission	17.0%	16.9%	16.5%	16.5%	16.5%	16.6%	16.6%	16.7%	16.7%	16.5%	16.3%	16.0%	16.5%	
		This Submission (Mar 24)	**17.0%**	**16.9%**	**14.6%**	**14.8%**	**15.7%**	**15.8%**	**15.9%**	**16.0%**	**16.0%**	**16.1%**	**16.1%**	**16.0%**	**15.9%**	
		Mar 24 vs last submission			*-1.9%*	*-1.7%*	*-0.8%*	*-0.8%*	*-0.7%*	*-0.7%*	*-0.6%*	*-0.4%*	*-0.3%*	*-0.0%*	*-0.6%*	
	ADGMV	Last Submission	2.9m	2.8m	2.9m	2.8m	3.0m	3.1m	3.3m	3.2m	3.5m	3.6m	3.8m	4.1m	3.3m	+41%
		This Submission (Mar 24)	**2.9m**	**2.8m**	**2.3m**	**2.3m**	**2.5m**	**2.6m**	**2.7m**	**2.7m**	**2.8m**	**3.0m**	**3.2m**	**3.5m**	**2.8m**	**+20%**
		Mar 24 vs last submission			*-21%*	*-19%*	*-17%*	*-17%*	*-19%*	*-16%*	*-19%*	*-17%*	*-16%*	*-15%*	*-15%* (4)	
	MP PC2	Last Submission	(1.4m)	(1.3m)	(1.3m)	(0.8m)	(0.4m)	(0.7m)	(1.3m)	(1.3m)	(1.1m)	(0.9m)	(1.3m)	(2.0m)	(13.8m)	(0.6m)
		This Submission (Mar 24)	(1.4m)	(1.3m)	(0.7m)	(0.6m)	0.6m	0.1m	(0.0m)	(0.3m)	(0.1m)	(0.2m)	(0.3m)	(0.3m)	(4.5m)	**0.4m**
		Mar 24 vs last submission			0.6m	0.2m	1.0m	0.9m	1.3m	1.0m	1.0m	0.7m	1.0m	1.6m	9.3m	

Key Highlights:

VN Platform:

1. **ADO -10%**
   - -6% due to PRM optimization
   - -4% from TTS heavy investment
2. **ADGMV** -3%, less impacted due to PRM cut for low ABS orders mainly

VN CB

3. **ADO:** -13% vs platform -10%, due to PRM cut in low ABS band which CB has more order% (CB ABS 4.1 vs local 8.9)

4. **ADGMV**: -15% vs platform -3% only
   5. Previous ABS projection aggressive: (+41% ADGMV growth vs platform only +34%), due to overproject KK ABS increase

   6. Current version makes more sense from Mar budget cut impact to CB, and YoY growth lesser than platform by 10%

Next step:

- CB 3PF ADO projection is not adjusted for May onwards from the payment channel uncertainty, expect to go further down
- Monitor Apr PRM new trends impact to CB

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MP Commission Waiving | ~$0.6mil truly foregone comms revenue in Mar, ~0.6% of CB MP Revenue, ~2.8% of CB EBITDA

Table: Monthly Foregone Revenue Tracker (Mar'25)

Performance		Program Overall (Mar'25)			Breakdown of all Programs (Mar'25)							
		Program Overall (M-0)	Program Overall (M-1)	MoM Change	CNCB - Mobile Category	MYCB - Newly Onboard FBS shops	SGCB - Newly Onboard FBS shops	HKCB - EL	FBS Boosting Program - VN	Fast Shipping Program - TH & PH	PHCB - Newly Onboard FBS shops	HKCB - Collectibles
Shop #		3,316	3,006	10.3%	58	72	25	44	303	2,747	63	4
Topline	ADO	203,348	125,824	61.6%	2,019	5,260	1,574	191	23,432	166,794	3,629	449
	ADGMV	1,426,287	976,543	46.1%	195,829	48,369	26,232	53,674	117,306	936,138	18,899	29,841
P&L	Revenue	$ 8,563,258	$ 5,368,977	59.5%	$ 519,811	$ 283,360	$ 164,060	$ 154,488	$ 886,578	$6,314,947	$ 121,715	$ 118,300
	PRM Cost	$ (7,757,820)	$ (4,198,351)	84.8%	$ (926,880)	$ (260,638)	$ (112,329)	$ (111,958)	$ (841,712)	$ (5,289,347	$ (128,665)	$ (86,290)
	Take Rate%	19.4%	17.7%	1.6%	8.6%	18.9%	20.2%	9.3%	24.4%	21.8%	20.8%	12.8%
	PC1%	1.8%	3.9%	-2.0%	-6.7%	1.5%	6.4%	2.6%	1.2%	3.5%	-1.2%	3.5%
	PC2%	0.6%	3.2%	-2.6%	-8.6%	0.1%	4.4%	0.4%	0.7%	2.4%	-2.3%	1.9%
Ops	LSR	0.5%	0.9%	-0.4%	0.6%	0.9%	1.7%	6.4%	0.8%	0.4%	1.0%	0.0%
	NFR	0.8%	0.7%	0.2%	1.5%	2.0%	1.2%	1.9%	1.2%	0.8%	0.9%	0.0%
Foregone Revenue		618,824	752,168	-17.7%	393,323	79,034	42,413	38,103	33,365	25,301	6,586	698

Note: Not including HK/KR/JP incubation shops (long-term incentive). Foregone revenue calculated based on standard 3P SLS charge rate

Key Highlights:

Total we have ~**3.3k** shops on commission waiving program with **~$0.6mil** truly foregone revenue

[Call Out #1] **New** special commission waiving programs from **Apr**:

- **Set up and check done:**
  - **[SG/TW/VN/TH] KRCB new sellers incentive:** further 3 month full comms waiver to new KRCB shops that meet seller investment criteria
  - **[PH] Focus Brands Program:** following local to give 0.5% - 4.5% to mall brands with higher ADG growth
  - **[VN] Strategic Brand Program:** 6% commission waiver to top 5 CNCB Beauty Brands in VN for GMV growth and seller investment commitment
  - **[CL] LFF incentives:** full comms waiver to newly onboard 3PF shops
- **Set up WIP:**
  - **[SG/MY] Taobao Seller SG Acquisition Program:** 3 months full commission waiver to a hitlist of Taobao sellers from Furniture and Fashion categories. ETA Mid Apr

[Call Out #2] Negative PC2: CN mobile category and FBS new shops negative PC2% to deep dive

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  - **SLS**: SEA Last Mile SPX comparison vs 3PL vendors

Context - TP meeting: SPX vs 3PL volume allocation: SPX is having high vol. share but not 100% yet, which see SPX volume increase possibilities (+10%/+20%) in MY/TW to benefit Shopee PnL as a whole

Table: SEA+TW CB Last Mile Vendor Vol. allocation and True Cost comparison (Feb)

Region/Zone		Channel	Region% of Pitf	Feb Vol. Allocation				LM cost/pc				Cost delta	Actions
				SPX	Best	Flash	Others	SPX (True cost)	Best	Flash	Others	SPX vs 3PL	
MY	WM (Klang Valley)	Total	34%	76%	24%	0%	0%	0.54	0.54	0.69	0.78	On Par	Increase SPX Vol.
	WM (Non KV)	Total	50%	75%	24%	1%	0%	0.54	0.54	0.70	0.81	On Par	Increase SPX Vol.
	EM (Sarawak)	Total	7%	4%	20%	25%	51%	0.63	0.69	0.79	0.84	Cheap	
	EM (Rest of EM)	Total	9%	25%	20%	24%	31%	0.63	0.69	0.79	0.82	Cheap	
	MY	Total	100%	66%	23%	4%	7%	0.54	0.56	0.79	0.83	Cheap	
Region/Zone		**Channel**	**Region% of Pitf**	**SPX**	**Flash**			**SPX (True cost)**	**Flash**			**SPX vs 3PL**	
TH	GBKK (incl CBKK)	Total	36%	94%	6%			0.34	0.40			Cheap	Increase SPX Vol.
	UPC(areas except for GBKK)	Land(TBKK)	36%	95%	5%			0.51	0.47			Expensive	Stay Vol.
		Land(others)	27%	82%	18%			0.55	0.53			On Par	Increase SPX Vol.
		Total	64%	89%	11%			0.52	0.51			On Par	Increase SPX Vol.
	Remote Area	Total	1%	81%	19%			1.93	1.93			On Par	
	TH	Total	100%	91%	9%			0.47	0.51			Cheap	
Region/Zone		**Channel**	**Region% of Pitf**	**SPX**	**JnT**	**2GO/WSI**		**SPX (True cost)**	**JnT**	**2GO/WSI**		**SPX vs 3PL**	
PH	Metro Manila	Total	18%	99%	1%	/		0.55	0.47			Expensive	Stay Vol.
	GMA	Total	16%	98%	1%	1%		0.53	0.48	0.74		Expensive	Stay Vol.
	Luzon	Total	27%	81%	10%	9%		0.58	0.84	0.74		Cheap	Increase SPX Vol.
	Visayas	Total	19%	52%	11%	38%		0.80	0.84	0.91		Cheap	Increase SPX Vol.
	Mindanao	Total	20%	44%	28%	28%		0.85	0.85	0.91		Cheap	Increase SPX Vol.
	PH	Total	100%	74%	11%	15%		0.62	0.84	0.88		Cheap	
Region/Zone		**Channel**	**Region% of Pitf**	**SPX**	**7-11**	**SF**	**Others**	**SPX (True cost)**	**7-11**	**SF**	**Others**	**SPX vs 3PL**	
TW	TW excl 宜瑞/花莲/屏束	Air (store)	66%	81%	10%	/	9%	0.68	1.41		1.32	Cheap	Stay Vol.
		Air (home)	3%	/	/	100%	0%	1.56		2.08	/	Cheap	Build SPX Capability
		Sea (store)	26%	/	71%	/	29%	0.68	0.87		0.46	Cheap	Build SPX Capability
		Sea (home)	1%	/	/	100%	/	1.56		2.08		Cheap	Build SPX Capability
		Total	97%	55%	26%	5%	14%	0.68	1.01	2.08	0.85	Cheap	
	宜瑞/花莲/屏束	Total	3%	92%	/	6%	2%	0.93		2.08	1.68	N/A	
	TW	Total	100%	57%	25%	5%	14%	0.69	1.01	2.08	0.86	Cheap	

Context:

Observed in TW of allocating volume by SPX charge rate instead of true cost vs 3PL, hence replicate study to SEA+TW

Key Highlights:

- **Order Coverage**:
  - TH ~90%, MY/PH ~70%: rest of non-allocated mainly from 1) SPX capacity 2) remote areas 3) strategic partners
  - TW 60% lower than other mkts due to buyer preference on channel mix instead of direct allocation from SLS
- **True cost wise**: most lanes (by buyer region), we are competitive enough, with TH UPC and PH MM region higher true cost

Next Step:

- **MY**: to increase SPX Vol. +10% in west malaysia
- **TH**: to 1) increase SPX vol. based on SPX capacity limit 2)UPC area to improve SPX true cost (est. to match 3PL) and explore cost optimal allocation
- **PH:** to 1) validate if JnT% can further go down from SPX expansion 2) MM SPX vol. stays due to strategic phasing out vendors
- **TW:** to build up seashipping connecting point and home delivery service (>> next slide, est. monthly 17K cost savings)

Follow-up Updates- SPX true cost vs 3PL: SPX adoption rate increased for MY/TH/PH with cheaper/on par true cost than 3PL; TW SPX new channel opening in progress

Table: SEA+TW CB Last Mile Vendor Vol. allocation change from Feb to Apr

Region/Zone		Channel	Region% of Pltf	Feb Vol. Allocation	Mar Vol. Allocation	Apr Vol. Allocation	Cost delta	Actions	Apr vs Feb Vol. Δ
				SPX	SPX	SPX	SPX vs 3PL		SPX
MY	WM (Klang Valley)	Total	35%	76%	77%	78%	On Par	Increase SPX Vol.	+ 2%
	WM (Non KV)	Total	45%	75%	76%	79%	On Par	Increase SPX Vol.	+ 4%
	EM (Sarawak)	Total	10%	4%	6%	11%	Cheap	Increase SPX Vol.	+ 6%
	EM (Rest of EM)	Total	10%	25%	28%	41%	Cheap	Increase SPX Vol.	+ 17%
	MY	Total	100%	66%	67%	68%	Cheap		+ 3%
Region/Zone		Channel	Region% of Pltf	SPX	SPX	SPX	SPX vs 3PL		SPX
TH	GBKK (incl CBKK)	Total	34%	94%	95%	98%	Cheap	Increase SPX Vol.	+ 3%
	UPC(areas except for GBKK)	Land(TBKK)	37%	95%	97%	99%	Expensive	Stay Vol.	+ 4%
		Land(others)	28%	82%	84%	87%	On Par	Increase SPX Vol.	+ 5%
		Total	66%	89%	91%	92%	On Par	Increase SPX Vol.	+ 3%
	Remote Area	Total	1%	81%	82%	87%	On Par		+ 5%
	TH	Total	100%	91%	92%	94%	Cheap		+ 3%
Region/Zone		Channel	Region% of Pltf	SPX	SPX	SPX	SPX vs 3PL		SPX
PH	Metro Manila	Total	17%	99%	99%	99%	Expensive	Stay Vol.	- 0%
	GMA	Total	16%	98%	98%	98%	Expensive	Stay Vol.	+ 0%
	Luzon	Total	30%	81%	85%	87%	Cheap	Increase SPX Vol.	+ 5%
	Visayas	Total	19%	52%	56%	57%	Cheap	Increase SPX Vol.	+ 6%
	Mindanao	Total	18%	44%	47%	48%	Cheap	Increase SPX Vol.	+ 4%
	PH	Total	100%	74%	77%	78%	Cheap		+ 3%
Region/Zone		Channel	Region% of Pltf	SPX	SPX	SPX	SPX vs 3PL		SPX
TW	TW excl 宜蘭/花蓮/屏東	Air (store)	65%	81%	79%	79%	Cheap	Stay Vol.	- 2%
		Air (home)	2%	/	/	/	Cheap	Build SPX Capability	-
		Sea (store)	28%	/	/	/	Cheap	Build SPX Capability	-
		Sea (home)	1%	/	/	/	Cheap	Build SPX Capability	-
		Total	97%	55%	52%	53%	Cheap		- 2%
	宜蘭/花蓮/屏東	Total	3%	92%	91%	92%	N/A		- 0%
	TW	Total	100%	57%	53%	54%	Cheap		- 2%

Key Highlights:

1. **MY [on track]**
   - [SPX vol. growth for WM] WM Air shipping Launched 5DD, target to cover 90% by Apr EoM
   - SPX Sea shipping target to cover 50% by EoY

2. **TH [on track for non-UPC] [Unexpected for UPC]**
   - [SPX vol. growth for GBKK] Overall vol. ramp up is for True cost reduction initiative
   - UPC - TBKK vol. Up:**unexpected but acceptable** due to
     - Close gap between SPX true cost and 3PL charge rate
     - For overall true cost reduction

3. **PH [on track]**
   - [SPX vol. growth for Luzon, Visayas and Mindanao on track] Overall expected true cost reduction of ~$59k for Apr

4. **TW [on track]**
   - [SPX capability build-up WIP] SPX Sea (Store) and Air capability building in progress:
     - Feature request alr raised
     - Contract process started on 7/Apr

Shopee

THE END